IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 30/230-232/ND/2022

IN THE MATTER OF:

Sections 230(1)(b) of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

NESTLE INDIA LIMITED
CIN: L15202DL1959PLC003786
100/101, World Trade Centre,
Barakhamba Lane,
New Delhi-110001

.....Applicant Company

AND

ITS SHAREHOLDERS

ORDER DELIVERED ON: 30.05.2022

CORAM:

MR. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)
MR. HEMANT KUMAR SARANGI, HON'BLE MEMBER (TECHNICAL)

For Petitioner(s): Adv. Anirudh Das

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

This is an application filled by the Applicant Company under Section 230(1)(b) of the Companies Act, 2013 (for brevity "The Act") read with

Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Arrangement (for brevity the "The Scheme") proposed between the Applicant Company and its Shareholders. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:-

a) *Allow the present Application and pass necessary orders towards the sanction of the Scheme of Arrangement (ANNEXURE "1") along with consequential directions as deemed fit and appropriate;*
b) *Direct convening the meeting of the Equity Shareholders of the Applicant Company, to consider the Scheme;*
c) *Direct that there is no requirement of convening the meeting of the Secured Creditors of the Applicant Company;*
d) *Dispense with the requirement of convening the meeting of the Unsecured Creditors of the Applicant Company;*
e) *Issue notice of the present Application in terms of Section 230(5) of the 2013 Act to the following authorities:-*

   a. Regional Director, Northern Region, Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Paryawaran Bhavan, CGO Complex, New Delhi 110003;

   b. Registrar of Companies, NCT of Delhi and Haryana, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

   c. Office of the Income Tax Department, Circle 10(1), Central Revenue Building, IP Estate, New Delhi 10002;
f) *Pass such other order(s) as are further deemed necessary in the facts and circumstances of the case.*

2. That affidavit in support of the application sworn for and on behalf of the Applicant Company has been filed by Mr. Pramod Kumar Rai being the authorized signatory.

3. That it is represented that the Scheme does not contemplate any reduction of share capital or corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Company is situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. That it is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be **01.01.2022.**

5. That the Applicant Company was incorporated on 28.03.1959 under the name of Food Specialities Limited in the state of Punjab under the provisions of Companies Act, 1956. The Registered Office of the Applicant Company was shifted from the State of Punjab to the State of Union Territory of Delhi on 13.08.1962. The name of the Applicant Company was changed to Nestlé India Limited on 29.03.1990. The authorised share capital of the Company is Rs. 1,000,000,000/- divided into 100,000,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 964,157,160/- divided into 96,415,716 fully paid up equity shares of Rs. 10/- each.

6. It is seen that the Board of Directors of the Applicant Company vide meeting held on 28.07.2021 have unanimously approved the proposed Scheme of Arrangement. Copy of such resolution passed has been placed on record.

7. That in relation to the Applicant Company, it has been represented that the company has 1,97,243 Equity Shareholders. It is further submitted that the Applicant Company has NIL Secured and 2447 Unsecured Creditors. In relation to the shareholders, the Applicant

Company seeks directions for convening and holding of their meeting. In relation to the secured and unsecured creditors, the Applicant Company seeks dispensation from convening and holding of their respective meetings.

8. That it has been further submitted that that the present Scheme is between the Applicant Company and its Shareholders and proposes that upon the Scheme becoming effective, the amount of Rs.8,374.3 million (Rs.837.43 crore) standing to the credit of the General Reserves of the Applicant Company shall be reclassified and credited to the Retained Earnings of the Applicant Company and such amount shall be available for utilization by the Applicant Company for being paid out to the Shareholders of the Applicant Company from time to time as determined by the Board of Directors of the Applicant Company.

9. That it has been further submitted that there is no compromise or arrangement in the Scheme between the Applicant Company and its creditors. That the creditors of the Applicant Company shall continue as creditors of the Applicant Company in the ordinary course of business without any variation or change in respect of the amount owed to the creditors. That the Applicant Company is paying its creditors in the ordinary course of business and has sufficient amounts available to it to meet the liabilities of the creditors.

10. That the Equity Shares of the Applicant Company are listed on BSE Limited. No Objection letter dated 16.12.2021 has been received for the filing of the Scheme from the BSE Limited.

11. That the Applicant Companies have filed the Audited Financial Statements for the year as on 31st December, 2021.

12. That the Applicant Company has submitted that no inspection, inquiry or investigation is pending against the Applicant Company.

13. That the Certificate of the statutory auditor of the Applicant Company dated 08.10.2021 has been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

14. We have heard the Ld. Counsel for the Applicant Company and perused the averments made in the application and the connected documents filed along with the Scheme of Arrangement contemplated between the Companies.

15. In sequel to the above, the following directions are given: -

A. **In relation to the Applicant Company:**

i. With respect to Shareholders:

The meeting of Shareholders of the Applicant Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 60 days of this order. The Quorum of the meeting shall be 75% in value. The Chairman shall fix the date, time and venue of the meeting.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

A. Ld Counsel appearing for the petitioner in the course of hearing has placed reliance upon the series of the decision of Hon'ble NCLAT as well as the decisions of the Coordinate Benches and submitted that the present compromise is between the applicant Company and its shareholders and there is no compromise between the Company and its creditors, the creditors of the Company shall continue as the creditors and on this ground claim dispensation of the meeting of the unsecured creditors. In terms of submissions, we perused the decisions relied by the petitioner and we areof the considered view

that since the Scheme does not provide for any compromise or arrangement with the Unsecured Creditors of the Applicant Company, the necessity of convening and holding a meeting of Unsecured Creditors is dispensed with.

B. In case the quorum as noted above for the aforesaid meeting are not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filled with the Registered Office of the Applicant Company at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein alongwith the Scrutinizer shall ensure that the proxy registers are properly maintained.

C. Mr. Abhinav Vashisht, Sr. Advocate (Mob.: 9810005511) is appointed as the Chairperson, Mr. Vipul Ganda, Advocate (Mob.: 9910804949) is appointed as the Alternate Chairperson and Mr. Rajiv Adlakha, ACS (Mob.: 9810023612) is appointed as the Scrutinizer for the aforesaid meeting in terms of the direction issued herein.

D. The fee of the Chairperson for the aforesaid meeting shall be Rs. 100000/-, the fee of the Alternate Chairperson for the aforesaid meeting shall be Rs. 75,000/- and the Scrutinizer for the aforesaid meeting shall be Rs. 50,000/- each in addition to meeting their incidental expenses.

E. The individual notices of the said meeting shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of amalgamation and a copy of explanatory statement. The notice convening meeting shall be uploaded on the website of the Applicant

Company. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act.

F. That the Applicant Company shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi Editions of "Financial Express" in English and "Jansatta" Hindi stating that the Copies of the Scheme, the Explanatory Statement required to be furnish pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provide free of charge at the Registered Office of the Applicant Company.

G. Voting shall be allowed on the proposed Scheme by voting in person or by proxy or through electronic means which includes remote voting or e-voting as may be applicable to the respective company under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

H. Notice of this Meeting shall also be served on the following authorities:-

   a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

   b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

   c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

   d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income Tax authorities shall disclose sufficient details like PAN card

numbers, ward numbers and assessing officers so that timely and proper reply may be filed;

e. Bombay Stock Exchange Ltd. (BSE)- Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai- 400001;

f. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the Applicant Company.

I. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Company.

16. **Accordingly, in terms of the above order, CA (CAA) 30 (ND) of 2022 is allowed.**

-Sd-

(HEMANT KUMAR SARANGI)
Member (T)

-Sd-

30.08.2022

(ABNI RANJAN KUMAR SINHA)
Member (J)